

The political-economy of power sector reform in South Africa

Anton Eberhard

UNPUBLISHED NOTE 1 APRIL 2016

How do we identify the right political moment for reform?

How do we build effective coalitions for reform?

How do we improve our understanding of the underlying political-economy dynamics of any reform situation and process?

And how do we design better reform proposals and processes?

I shall attempt to answer these questions with reference to my own experience over the past 25 years working as an energy policy researcher and advisor in South Africa. I directed an energy policy research group at the University of Cape Town. For a period, I was also a part-time regulator and, at different times, I have been contracted directly by the government, the utility, private investors and development finance institutions. In one way or another, I have been involved in all the major reform efforts in South Africa's power sector. I currently chair an advisory panel for the Deputy President who has been given overall responsibility for restoring electricity supply security.

South Africa has achieved some successes in electrification and renewable energy IPPs.

Unfortunately, we have also had some spectacular failures: the structure of our power sector remains largely unchanged with the national utility, Eskom, now unable to supply sufficient power.

Our first success was an electrification programme that increased the proportion of households with a connection from less than a third to more than 85 percent. The moment was right for this intervention. In the transition from apartheid to democracy all key stakeholders agreed on the desirability of extending basic services. Our contribution was to work with the new ruling party, the African National Congress, to model what was technically and financially possible and to lift the ambition of Eskom and the Department of Energy's electrification targets.

A more recent success has been the renewable energy IPP programme, which, in less than four years, has contracted 77, mainly solar and wind, projects totaling more than 5000MW and US\$17 billion in private investment, with remarkable price outcomes. Bid prices between rounds 1 and 4 have fallen, in nominal terms, 46 percent for onshore wind and 71 percent for solar PV. Renewable energy prices are now amongst the cheapest in the world, below 5 US cents /kWh for wind and 6.5 US cents/kWh for PV.

How was this accomplished, especially in a country where 90 percent of electricity is produced from coal and where the sector is dominated by the incumbent, state-owned, vertically-integrated utility Eskom?

When I reflect on what happened I conclude that it was, in part, a policy accident and, in part, a fortuitous coming together of a coalition of stakeholders that were able to push through a renewable energy and IPP agenda despite nascent opposition.

The genesis of South Africa's renewable energy programme was the commitment made by President Zuma, at the Copenhagen COP in 2009, that South Africa would reduce its carbon emissions below a business-as-usual trajectory. Although conditional, this commitment was translated into a new electricity plan that adopted a carbon emissions cap and paved the way for a greater share of

renewable energy. All stakeholders agree that the Copenhagen commitment was not pre-planned, was not widely canvassed and prematurely made public carbon-reduction targets that were originally envisaged as a fall-back, negotiating position and were based on a power point slide that crudely summarized a spreadsheet that was based on rather more complex long-term migration scenarios modeled at the University of Cape Town.

More extraordinary is the fact that a substantial grid-connected renewable energy programme followed, in part, simply because the President had made a commitment, but crucially also because a coalition of influence had developed between National Treasury, the Departments of Environment and Energy, private sector investors and, conditionally, also the Department of Trade and Industry. National Treasury's PPP unit was worried about electricity security and Eskom's finances, and wanted to widen the space for private sector investment. With the Department of Energy, it set up an IPP unit that was well resourced and could contract expert transaction advisors. Legislative and regulatory amendments quietly shifted responsibility for generation procurement to the Ministry of Energy. And as South Africa prepared for the Durban COP in 2011, the decision was made to commence procurement of "green technologies" that could potentially tap climate funding. At the same time, the private sector had begun mobilising around the renewable energy feed-in tariffs published previously by the energy regulator (but which had not yet resulted in any projects). And when the National Treasury and the Department of Energy drove the shift from feed-in tariffs to competitive tenders, the private sector provided market information that helped the IPP unit design effective auctions.

What's relevant to our debate today is that almost all of this happened without any direct policy advice from outsiders. The World Bank's GEF Renewable Energy Market Transformation Project in South Africa was premised on renewable energy targets set in a previous era and its influence on the design of the auctions was zero. Here was the perfect policy moment, yet it was almost entirely missed by international development finance institutions. 86 percent of finance for the successful bidders was provided by local South African banks. Only later did the IFC and other DFIs start participating. And the World Bank's add-on loan to Eskom for a wind and concentrated solar plant (CSP) has had minimal impact. Eskom has taken twice as long to reach COD than private developers using exactly the same wind turbines, and has been more expensive. And construction on its CSP plant has not even begun while private developers are close to connecting to the grid.

It will be interesting to see whether the coalition of interests that have enabled the success of South Africa's grid-connected renewable energy programme will hold. Black economic empowerment constituencies, endorsed by the ruling party, wonder how they missed rent-seeking opportunities. The auctions were robust, transparent and fair. Criticisms of the distribution of economic development benefits are beginning to emerge despite impressive localization, employment and community development outcomes having been documented. This will be an interesting space to watch: it is not only the development of policy that is important; sustaining policy coalitions and positions is equally challenging.

Identifying the right moment for reform, and understanding emerging coalitions for reform, are clearly critical. Washington-designed technical assistance projects, with lengthy approval processes, and pre-defined multi-year outcomes and milestone indicators, run the risk of irrelevance and missing these key policy reform moments. International technical assistance needs to understand and connect with local policy networks and communities.

Successful policy advice also requires an understanding of underlying political economy dynamics. Tracing the history of power sector reform proposals in South Africa is a depressing story of

seemingly sound advice based on international experience coming close to implementation but then being aborted.

I was involved in the preparation of the Energy Policy White Paper published in 1998 that proposed the unbundling of Eskom, competition and private sector participation. It was an exhilarating and heady time. There was space for Intellectual vanguardism as the new South African democratic government was being formed. Policy proposals translated uncomplicatedly into detailed designs of an electricity market not dissimilar to Nordpool or PJM. But political and material interests soon coalesced, including ideological resistance to privatization and a fight-back from Eskom which continues to be a master at “malicious compliance” - it professes agreement with government policy positions but quietly and determinedly protects its dominant market position.

Eskom’s shareholder Minister eventually pulled the plug on sector reform in 2004 and declared that Eskom would once again be the supplier of last resort and would invest in mega new coal power stations.

Well, we now know the consequences of that decision: Eskom’s new investments are late and way over budget, the performance of its existing fleet of power stations has declined precipitously, and its finances have collapsed. A once proud, investment-grade utility now has junk status, faces a liquidity crunch and cannot keep the lights on. Governance failures, a patronage board and politically-inspired management appointments don’t provide much confidence for a turn-around under the prevailing governance and institutional arrangements.

The first set of power sector reform proposals failed to build coalitions for change or to understand the broader political-economy interests within the governing alliance. The current power crisis presents a new opportunity for reform and for being more strategic and prescient around connecting with those constituencies that demand change, such as National Treasury, which is concerned around possible impacts on sovereign debt, and industry, and more broadly electricity consumers and voters, which are now fed-up with power cuts and electricity price hikes.

It is not enough simply to be more sensitive to propitious moments for reform, or to understand coalitions of reform actors and institutions. Political-economy dynamics need to be probed including theoretical and analytical frameworks that facilitate an understanding of underlying material interests as well as the superstructure of institutions and ideology.

In reflecting on this history, I am conscious that key individuals have played seminal roles in successful reform efforts. But as the most famous and controversial of 19th century political-economists wrote: “Men [and as we would say today, women] make their own history, but they do not make it as they please; they do not make it under self-selected circumstances, but under circumstances existing already”.

Building on the work on the Nobel Prize winning new institutional economist, Douglass North, Elinor Ostrom and others, ex-World Bank governance expert, Brian Levy, now linked to Johns Hopkins and the University of Cape Town, warns against the brittle foundation of technocratic exhortation and the desperate search for reform champions and big moments of reform. In his recently published book: “Working with the Grain”, Levy suggests the focus should be on incremental but real results achieved by working with the critical mass of actors (individuals and institutions) who have standing and have a stake in the policy proposals, and are in a position to support and protect them in the face of opposition.

The emphasis on real and incremental results, made possible within a better understanding of political economy, finds resonance now in our renewed debates around what kind of power sector reform proposals and processes make the most sense.

In South Africa, and indeed in many other emerging economies and developing countries, standard prescriptions of power sector reform, premised on unbundling, privatization and competition, and unconnected to the local political-economy, gain little traction. Instead, reforms need to incorporate effective incremental and pragmatic strategies and mechanisms for dealing with real challenges – such as contracting new power generation investments while improving the financial and technical performance of the off-taker utility.

Will we have greater policy success? This approach, at least, holds out hope.

Anton Eberhard is a Professor at the University of Cape Town's Graduate School of Business and is Chair of the SA Deputy President's Advisory Panel on Eskom's Turn-Around Strategy and Restoring Electricity Supply Security